AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACT111

Financial Accounting

Mid-term Exam – Version C
Summer Semester 2025-2026

3 – August – 2026

Number of Pages: 4 (including this cover sheet)	Time Allowed: 90 minu

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided.
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches.
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the e
- Students are allowed to use ***non-programmable*** calculators only (if needed).

Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Po

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Question 1 (46 Marks)

The records of Prime Service show the following information as of December 31. The owner, Arnold Bond, withdrew $10,000 during the year for personal expenses.

Land	40,000	Wages expense	$20,000
Insurance expense	12,000	Accounts receivable	8,000
Rent payable	5,000	A. Bond, Capital, January 1	61,000
Accounts payable	21,000	Rent revenue	3,000
Cash	21,000	Equipment	19,000
Services revenue	44,000	Supplies	4,000

Required: Use the above information to:

1- Prepare a December Income Statement for the business. **(12 marks)**
2- Prepare a December Statement of Owners' Equity for the business **(7.5 marks)**
3- Prepare a December Balance Sheet for the business. **(18 marks)**
4- Calculate the Debt Ratio and explain what the result of this ratio means **(8.5 marks).**

Question 2 (24 Marks)

A- Name and explain *THREE* Accounting Assumptions. **(6 marks)**

B- Copy the next table in your answer booklet, then insert your selections of the best answers for the following statements: **(18 marks)**

No	1	2	3	4	5	6	7	8	9	10	11	12
Answer												

1) Which of the following financial statements would be most useful if an analyst wants to know the likelihood of repayment of business debts?
A) income statement
B) balance sheet
C) statement of retained earnings
D) statement of cash flows

2) Managerial accounting provides information to _____.
A) internal decision makers
B) outside investors and lenders
C) creditors
D) taxing authorities

3) Which of the following is *not* an example of a source document?
A) bank check
B) purchase invoice
C) journal

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D) sales invoice

4) _____ are professional accountants who serve the general public, not one particular company.
A) Certified public accountants
B) Financial managers
C) Internal auditors
D) Controllers

5) A business renders services to a client and issues a sales invoice. The amount will be collected from the customer at a later time. Which of the following is *true* at the time the invoice is issued?
A) Equity will decrease.
B) Total liabilities will increase.
C) Total assets will decrease.
D) Net income will increase.

6) Which of the following is a liability account?
A) Prepaid Advertising
B) Cash
C) Building
D) Unearned Rent

7) GAAP refers to guidelines for accounting information in the United States. The acronym GAAP in this statement refers to _____.
A) Globally Accepted Accounting Policies
B) Government Approved Accounting Principles
C) Generally Accredited Accounting Policies
D) Generally Accepted Accounting Principles

8) Which one of the following account groups will decrease with a debit?
A) assets and expenses
B) revenues and expenses
C) liabilities and revenues
D) assets and liabilities

9) Salaries payable is a(n) _____ account and has a normal _____ balance.
A) liability; debit
B) asset; debit
C) liability; credit
D) asset; credit

10) Prepaid insurance is a(n) _____ account and has a normal _____ balance.
A) asset; debit
B) liability; credit
C) liability; debit
D) asset; credit

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11) Which of the following statements is true of expenses?
A) Expenses increase equity, so an expense account's normal balance is a credit balance.
B) Expenses decrease equity, so an expense account's normal balance is a credit balance.
C) Expenses increase equity, so an expense account's normal balance is a debit balance.
D) Expenses decrease equity, so an expense account's normal balance is a debit balance.

12) For Buildings, the category of account and its normal balance is _____.
A) liabilities and a debit balance
B) assets and a debit balance
C) liabilities and a credit balance
D) assets and a credit balance

Question 3 (30 Marks)

Earl Dodd began a Legal Consultations practice and completed these transactions during August of the current year:

August. 1 Dodd invested $40,000 cash of his personal savings into the business.
3 Rented office space and paid $2,400 cash for the month of August.
5 Purchased office supplies for $5,000, paying $2,000 cash and agreeing to pay th remaining balance in one year.
10 Purchased Equipment for $10,000 on account.
17 Completed $4,600 services for a client on credit.
19 Received $3,900 from the client for the work provided on August 17.
24 Paid the office secretary's monthly salary, $2,000 cash.
31 Dodd brought additional equipment into the business from his personal belongings. The equipment is worth $3,700.

Required

(1) Prepare journal entries for the previous transactions **(20 marks).**
(2) Post the T-account entries for Accounts Payable, and Rent Expense. What is the balance of each for August, and is it Debit or Credit? **(10 marks).**

[END OF EXAM]

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